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**ECONOMICS**

**0455/11**

Paper 1 Multiple Choice

**Predicted Hard**

**45 minutes**

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You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

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**INSTRUCTIONS**

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

**INFORMATION**

- The total mark for this paper is 30.
  - Each correct answer will score one mark.
  - Any rough working should be done on this question paper.
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This document has 12 pages. Any blank pages are indicated.

**1** A country decides to shift resources from producing consumer goods to producing capital goods.  
What is the most likely long-run effect on the production possibility curve (PPC)?

- A** it will remain unchanged
- B** it will shift inwards
- C** it will shift outwards
- D** it will rotate so that only consumer-goods output falls

**2** A student lists the following factor rewards:

1 interest 2 profit 3 rent 4 wages

Which pairing of factor of production to reward is correct?

- A** capital-1, enterprise-2, land-3, labour-4
- B** capital-2, enterprise-3, land-1, labour-4
- C** capital-3, enterprise-2, land-1, labour-4
- D** capital-4, enterprise-2, land-3, labour-1

**3** An economy can produce either 100 units of good X or 40 units of good Y, or any combination on a linear PPC.

What is the opportunity cost of 1 unit of good Y?

- A** 0.4 units of X
- B** 1 unit of X
- C** 2.5 units of X
- D** 40 units of X

**4** A firm reduces the price of a good from \$10 to \$9. Quantity demanded rises from 100 to 120 units.

What is the price elasticity of demand (rounded to 1 decimal place, ignoring sign)?

- A** 0.5
- B** 1.0
- C** 2.0
- D** 5.0

**5** The demand for a good is price elastic.

What happens to total revenue if price rises?

- A** it is unchanged
- B** it falls
- C** it first rises then falls
- D** it rises

**6** The equilibrium price of wheat rises and equilibrium quantity falls.

Which change could best explain this?

- A** a fall in consumer incomes
- B** a rise in the price of a substitute
- C** a rise in production costs
- D** an improvement in farming technology

**7** A government imposes a specific (per-unit) tax on cigarettes, which have price-inelastic demand.

What is the most likely outcome?

- A** consumption falls sharply and tax revenue falls
- B** consumption falls slightly and tax revenue rises
- C** consumption rises slightly and tax revenue falls
- D** consumption rises sharply and tax revenue rises

**8** An external cost is present in the production of steel.

Which situation will result?

- A** private benefit exceeds private cost
- B** social cost exceeds private cost
- C** social cost equals private cost
- D** social benefit exceeds private benefit

**9** A government introduces a minimum price above the equilibrium for milk.

What is the most likely immediate result?

- A** a shortage of milk
- B** a surplus of milk
- C** higher milk consumption
- D** lower farm incomes

**10** Which will cause a rightward shift in the demand curve for electric cars?

- A** a fall in petrol prices
- B** a rise in the price of electric cars
- C** a successful government scrappage scheme for petrol cars
- D** a rise in interest rates on car loans

**11** A firm produces 500 units. Total fixed cost is \$2 000 and total variable cost is \$3 000.

What is the average total cost?

- A** \$4
- B** \$6
- C** \$10
- D** \$25

**12** Which is most likely to shift the labour supply curve for nurses to the right?

- A** a fall in the wage rate for nurses
- B** a rise in the number of nurse training places
- C** a rise in the retirement age of teachers
- D** higher taxation on health services

**13** Which situation is most likely to encourage household saving?

- A** a cut in interest rates
- B** a reduction in income tax
- C** a rise in expected inflation
- D** a fall in consumer confidence

**14** A firm merges with a rival producing the same good at the same stage of production. What type of integration is this?

- A** conglomerate
- B** horizontal
- C** vertical backward
- D** vertical forward

**15** Diseconomies of scale occur when a firm becomes too large. Which is an example of an internal diseconomy of scale?

- A** a fall in the cost of raw materials
- B** bulk discounts from suppliers
- C** difficulties in communication between managers
- D** local congestion on roads

**16** Which combination represents a contractionary fiscal policy?

- A** higher government spending and lower taxation
- B** higher government spending and higher taxation
- C** lower government spending and higher taxation
- D** lower government spending and lower taxation

**17** The consumer price index rises from 120 to 126 in one year.

What is the rate of inflation?

- A** 5%
- B** 6%
- C** 20%
- D** 25%

**18** A government wants to reduce cyclical unemployment.

Which policy is most appropriate?

- A** contractionary monetary policy
- B** expansionary fiscal policy
- C** higher income taxes
- D** supply-side reform to retrain workers

**19** The marginal rate of tax rises as income rises.

What type of tax system is this?

- A** flat
- B** progressive
- C** proportional
- D** regressive

**20** Which is an example of a supply-side policy?

- A** cutting the basic rate of income tax to boost demand
- B** increasing the central bank's bank rate
- C** investing in training programmes to raise labour productivity
- D** raising government welfare spending during a recession

- 21** Country X has a high HDI and Country Y has a low HDI.  
Which of the following best describes Country X relative to Country Y?
- A** higher income, lower life expectancy, fewer years of schooling
  - B** higher income, higher life expectancy, more years of schooling
  - C** lower income, higher life expectancy, more years of schooling
  - D** similar income, but higher infant mortality
- 22** A country has a birth rate of 30 per 1 000 and a death rate of 10 per 1 000.  
What is the natural rate of population increase?
- A** 2%
  - B** 4%
  - C** 20%
  - D** 40%
- 23** Which is most likely to lead to a reduction in absolute poverty?
- A** a fall in the price of wheat in a wheat-exporting country
  - B** a rise in the real wage of low-income workers
  - C** an increase in food prices caused by drought
  - D** a rise in unemployment among low-skilled workers
- 24** Which is most likely to be a consequence of an ageing population?
- A** a fall in pension spending
  - B** a larger dependency ratio
  - C** a larger labour force
  - D** a rise in the birth rate

**25** Which best describes economic development?

- A** a long-run rise in real GDP only
- B** an increase in average incomes alongside wider improvements in welfare
- C** a short-run rise in real GDP
- D** an increase in the current account surplus

**26** A country imposes an import tariff on cars.  
Which outcome is most likely?

- A** domestic production of cars falls
- B** domestic car prices fall
- C** imports of cars fall
- D** tax revenue for the government falls

**27** A country's currency appreciates.  
What is likely to happen to its balance of trade in the short run?

- A** it will improve
- B** it will worsen
- C** it will remain unchanged
- D** imports will decrease

**28** A country records the following transactions (in \$m): exports of goods 400, imports of goods 350, exports of services 100, imports of services 120.  
What is the balance on the current account (assuming no other items)?

- A** -\$30
- B** \$30
- C** \$50
- D** \$400



**29** Which is most likely to be a disadvantage of a multinational company (MNC) operating in a developing country?

- A** creation of employment
- B** payment of corporate tax to host governments
- C** profits may be repatriated to the home country
- D** transfer of technology to local firms

**30** An economy joins a free trade area.  
What is a likely benefit for consumers?

- A** a narrower choice of goods
- B** a rise in the general price level
- C** greater choice of goods at lower prices
- D** higher tariffs on member imports

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